other charges that come into play with explanation. Moreover, if the application is declined, the applicant needs to be informed of the reason behind the rejection.

Recovery mechanics: Any time a cardholder delays and defaults on payments, recovery agents or the card issuer start harassing the cardholder. This will no more be possible as issuers and third party agents will have to follow a fair practice code at the time of recovery of dues from cardholders. It will also be the duty of the recovery agents now to maintain strict customer confidentiality.

Charges and costs: Card issuers will have to specify the Annualised Percentage Rates (APR) on credit cards for different situations such as retail purchases, balance transfer, cash advances, non-payment of minimum amount due and late payment, especially if the charges are different for each of these cases. Moreover, there cannot be any hidden charges while issuing credit cards free of charge.

Issuer credentials: Only commercial banks with net worth of over Rs 100 crore can undertake credit card business either independently or in tie-up arrangement with other card-issuing banks or NBFCs. Likewise, regional rural banks (RRBs) can issue credit cards only in collaboration with their sponsor bank or other banks. Importantly, NBFCs will not undertake card issuance (credit and debit) without prior RBI approval.

Card activation: Card issuers will need to take OTP-based consent from the cardholders for activating a credit card. However, if the card is not activated by the cardholder for more than 30 days from the date of issuance; the card issuer shall close the credit card account without any cost to the customer. But in case of a renewed or replaced card, the closure of an inactivated card shall be subject to payment of all dues by the cardholder.

Insurance cover: Card issuers will have the option to introduce an insurance cover to take care of the liabilities arising out of lost cards, card frauds, etc. However, if the card issuers offer any insurance cover to the cardholders in tie-up with insurance companies, the card issuer has to obtain written consent or in digital mode from the cardholders along with the details of nominee(s).

Card outstanding to EMI: The trend to convert credit card outstanding to EMIs will not be easy for card issuers. They will have to ensure transparency at the time of conversion of credit card transactions to EMIs by clearly indicating the principal, interest and upfront discount provided by the merchant or the issuer to make it no-cost prior to the conversion. This detail should also be indicated in the credit card statement. EMI conversion with interest component shall not be camouflaged as zero-interest or no-cost EMI.

Credit limit: Card issuers cannot change the sanctioned credit limit to cardholders without seeking consent from the cardholder.

Card closure: A request for closure of a credit card must be honoured within seven working days by the credit card issuer, subject to payment of all dues by the cardholder. Subsequent to the closure of the credit card, the cardholder will be immediately notified about the closure through email and other forms of communication. Failure on the part of the card issuers to complete the process of closure within seven working days shall result in a penalty of Rs 500 per day of delay payable to the customer, till the closure of the account, provided there is no outstanding in the account.

Dormant card: If a credit card has not been used for more than a year, the process to close the card must be initiated after intimating the cardholder. If no reply is received from the cardholder within 30 days, the card account will be closed by the card issuer, subject to payment of all dues by the cardholder. ■

–Narayan Krishnamurthy

BE PREPARED FOR AN INCREASE IN EMI

Change in interest rates, especially lending rates, is a cause of concern for borrowers when they go up. Banks have started to slowly increase their marginal cost of funds-based lending rate (MCLR) by 5-10 basis points, which has a direct impact on EMIs. The RBI in its April 8 monetary policy review signalled a shift in focus from reviving growth to reining in inflation. Ever since, the yield on the benchmark 10-year government securities has been above 7 per cent.

MCLR was introduced in 2016 and arrived at based on the marginal cost for funds, especially by the deposit rate and by the repo rate. It is an internal benchmark that determines the interest rate on loans based on CRR (cash reserve ratio), loan tenure and the operating costs. Hence, any change in repo rate changes the MCLR, impacting all categories of borrowers.

So, a 10 bps increase in MCLR of 7.35% for a 20-year home loan can increase the EMI by Rs 8 per lakh. On a Rs 50 lakh home loan, it will work out to an additional Rs 400 each month for the remaining repayment period. With more hikes expected this year, each spike can offset the best laid repayment plans. Borrowers have the choice to increase EMIs or increase the loan tenure to maintain the same EMI. If possible, pay the higher EMI and not the tenure because doing so will increase the overall borrowing cost. However, if increasing EMIs is a burden; opt for increasing the loan tenure and look for ways to repay lump sum from time to time to reduce the principal component of the loan.